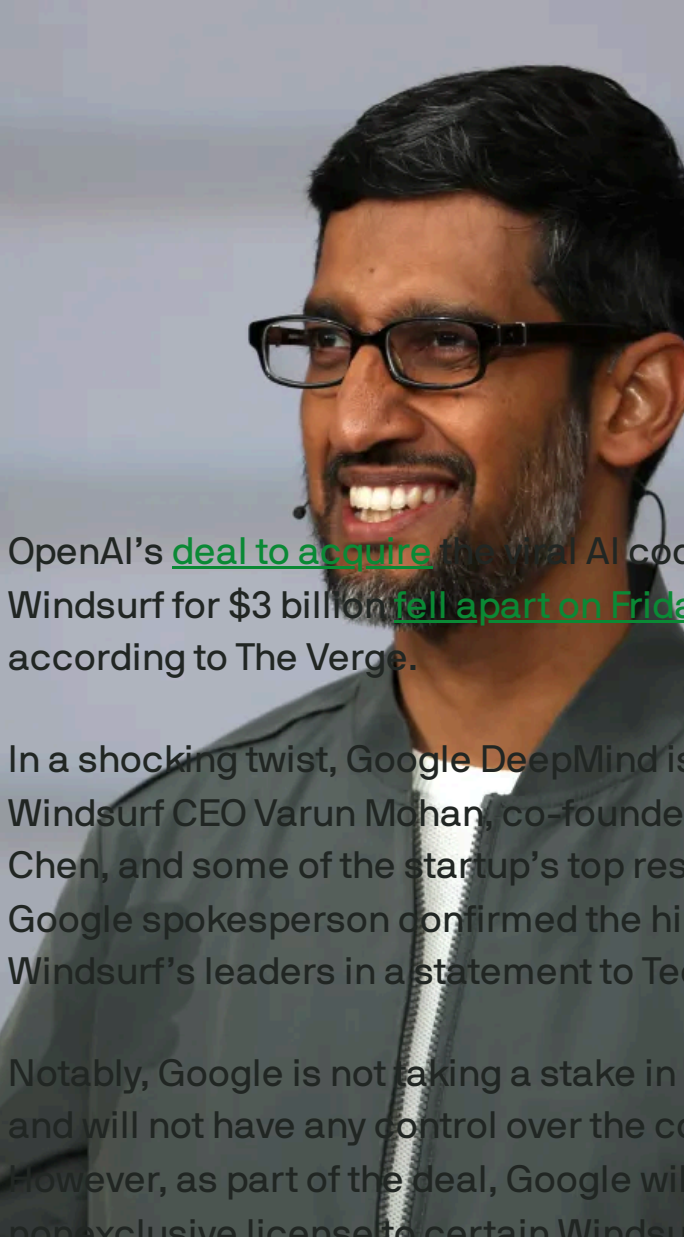


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AI



Windsurf's CEO goes to Google; OpenAI's acquisition falls apart



OpenAI's [deal to acquire](#) the viral AI coding startup Windsurf for \$3 billion [fell apart on Friday](#), according to The Verge.

In a shocking twist, Google DeepMind is now hiring Windsurf CEO Varun Mchan, co-founder Douglas Chen, and some of the startup's top researchers. A Google spokesperson confirmed the hiring of Windsurf's leaders in a statement to TechCrunch.

Notably, Google is not taking a stake in Windsurf and will not have any control over the company. However, as part of the deal, Google will have a nonexclusive license to certain Windsurf technology, meaning the AI coding startup remains free to license its technology to others.

IMAGE CREDITS:
JUSTIN SULLIVAN / GETTY IMAGES

Bloomberg reports that [Google is paying \\$2.4 billion](#) to license Windsurf's technology and hire its top employees.

"We're excited to welcome some top AI coding talent from Windsurf's team to Google DeepMind to advance our work in agentic coding," said Google spokesperson Chris Pappas in an email to TechCrunch.

The deal represents the AI ecosystem's latest reverse-acquihiire, in which a company hires a startup's top talent and licenses its technology but does not outright acquire the company. Google previously conducted a similar deal [to hire back](#)

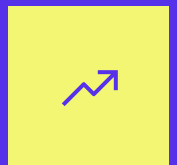
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[Character.AI CEO Noam Shazeer](#), as did Microsoft to hire [Mustafa Suleyman](#). These deals have helped several Big Tech companies increase their position in the AI race without drawing regulatory scrutiny.

“We are excited to be joining Google DeepMind along with some of the Windsurf team,” said Mohan and Chen in a statement to TechCrunch. “We are proud of what Windsurf has built over the last four years and are excited to see it move forward with their world class team and kick-start the next phase.”

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As of Friday, Windsurf’s head of business, Jeff Wang, will take over as the startup’s interim CEO, he announced in a [post on social media](#). Most of Windsurf’s 250 person team is not headed to Google DeepMind and will continue offering its AI coding tools for enterprise customers.



Logan Kilpatrick ✓
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Big welcome to @_mohansolo and others from the Windsurf team joining Deepmind :)

9:40 PM · Jul 11, 2025



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OpenAI's deal to acquire Windsurf has reportedly been a major tension point in the ChatGPT maker's contract renegotiations with Microsoft. Microsoft currently has access to all of OpenAI's intellectual property; however, OpenAI didn't want its largest backer to get Windsurf's AI coding technology as well, according to previous reporting from the [Wall Street Journal](#).

Earlier on Friday, Fortune reported that the [exclusivity period on OpenAI's offer to acquire Windsurf had expired](#), meaning that Windsurf would now be free to explore other offers. It seems that Windsurf didn't wait long.

In recent months, Windsurf has been one of the hottest AI coding startups on the market. In April, the startup's [ARR reached about \\$100 million](#), TechCrunch previously reported, up from about \$40 million months earlier. That rapid growth attracted suitors such as OpenAI and apparently Google.

The addition of Mohan, Chen, and other Windsurf leaders could significantly boost Google's ability to build AI coding tools. In recent months, AI model providers have focused more on offering AI coding applications to entice developers. Anthropic has boosted its revenue significantly on the back of its AI coding tool, [Claude Code](#), while OpenAI continues to pitch Codex, its AI coding agent, to software engineers.

Windsurf, on the other hand, is left in a much more uncertain position as a result of this deal. Other AI startups that have seen their leaders hired away have struggled to sustain the same momentum they had beforehand. [Scale AI lost customers as a result of its deal with Meta](#), whereas Inflection had to [pivot entirely from consumer AI](#) after its deal with Microsoft.

It seems likely that Windsurf could suffer a similar fate.

Update 7:25 pm PT: This article was updated to include the reported price Google paid Windsurf in the deal.

Topics: [AI](#) [Google](#) [OpenAI](#) [Windsurf](#)

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Maxwell Zeff

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Maxwell Zeff is a senior reporter at TechCrunch specializing in AI. Previously with Gizmodo, Bloomberg,...

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Cognition, maker of the AI coding agent Devin, acquires Windsurf

Maxwell Zeff — 11:51 AM PDT · July 14, 2025

[Cognition](#), the startup behind the viral [AI coding agent Devin](#), announced in a [blog post](#) on Monday that it has signed a definitive agreement to acquire [AI coding startup Windsurf](#).

The announcement comes just days after [Google](#) [hired away Windsurf's CEO](#) Varun Mohan, co-founder Douglas Chen, and research leaders in a \$2.4 billion reverse-acqui-hire that left much of the startup's 250-person team behind. Google's deal occurred just hours after OpenAI's \$3 billion offer to acquire Windsurf expired, clearing the way for the AI coding startup to explore other options.

The frenzy around Windsurf represents a new peak in the wild race to develop AI coding tools — specifically, the AI-powered integrated development environments (IDEs) that Cursor and Windsurf offer. In recent months, the businesses around AI-powered IDEs have skyrocketed, pushing Cursor's annualized recurring revenue (ARR) to \$500 million. While Windsurf's business is smaller than Cursor's, it has achieved impressive growth in

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the last year, garnering interest from several larger companies.

“The last 72 hours have been the wildest rollercoaster ride of my career,” said Jeff Wang, Windsurf’s former head of business, who was made interim CEO of the startup days ago after Google hired the startup’s leaders, in a [post](#) on LinkedIn. “To our new teammates at Cognition: we at Windsurf feel incredibly lucky to be joining a team that shares our vision, our deep commitment to our users, and — most importantly — our values.”

Cognition says it’s acquiring Windsurf’s IP and product, which include its AI-powered IDE, alongside all of the employees who were not hired by Google.

Cognition did not announce the price it acquired Windsurf for; however, the company says Windsurf reached \$82 million in ARR, with enterprise ARR doubling quarter-over-quarter. Cognition says Windsurf’s user base reached at least 350 enterprise customers and “hundreds of thousands” of daily active users.

In the near term, Windsurf’s team will continue working on its AI-powered IDE, while Cognition works on its AI coding agent, Devin, the companies said in a press release. Eventually, Cognition says it will integrate Windsurf’s IP and capabilities into its own products.

TechCrunch reported in April that [Windsurf’s ARR had reached \\$100 million](#) at one point. However, Anthropic — which offers some of the most popular AI models for coding tasks — cut Windsurf’s direct access to its Claude AI models in June, with [Anthropic co-founder Jared Kaplan attributing the decision to rumors](#) that OpenAI, its largest competitor, was close to acquiring Windsurf. Several Windsurf customers told TechCrunch [they](#)

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[switched to other services that offered Claude AI models](#), such as Cursor, in light of the incident.

Cognition notes in its press release that Windsurf will now have full access to Claude AI models once again.

Over the weekend, The Information reported that Windsurf employees who had joined in the last year [did not receive a payout in Google's billion-dollar reverse-acquihire](#). That prompted many users on social media to scoff at the deal, which seemed to largely benefit investors and leaders at the startup.

Cognition president Russell Kaplan indicated in a [post on X](#) that the Windsurf acquisition truly came together over the weekend, just hours after the Google deal was made public. He noted that the first call was made after 5 p.m. on Friday and that an agreement was signed Monday morning.

Incredibly excited to share that Cognition is acquiring Windsurf. What an insane weekend – from first call after 5pm on Friday to a signed definitive agreement this morning. There's a lot to build! <https://t.co/UxwOG3QHVg>

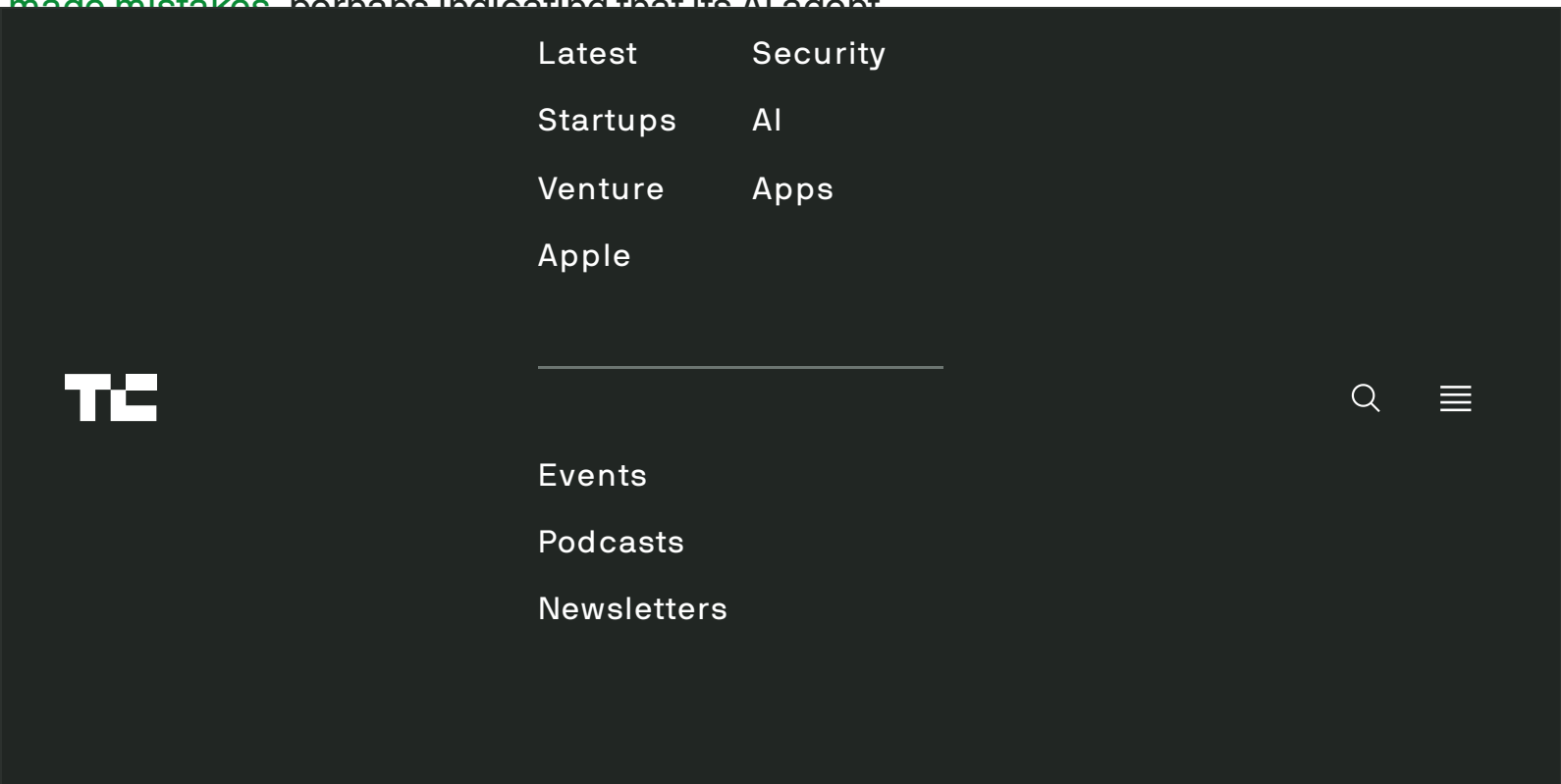
— Russell Kaplan (@russelljkaplan) [July 14, 2025](#)

Cognition notes in its blog post that 100% of Windsurf employees will participate financially in this deal and have vesting cliffs waived for their work to date.

With the addition of Windsurf's talent and IP, Cognition may have a supercharged startup to compete with giants in the AI coding space, such as OpenAI, Anthropic, and Cursor. In March, Cognition reportedly held talks to [raise hundreds of millions of dollars at a \\$4 billion valuation](#). It's unclear if the round closed, but Cognition may need

such a war chest to compete in the AI coding space.

Cognition was one of the first AI startups to launch a fully fledged AI coding agent, Devin, which didn't just help with tasks, but also promised to automate them completely as if it were a junior software engineer. This was a markedly bold approach compared to Cursor and Windsurf, which offered environments for developers to easily access AI tools. However, early reviews found that [Devin made mistakes](#), perhaps indicating that its AI agent



Cognition has landed a major customer in the [Fintech](#) space, [Street juggernaut Goldman Sachs](#).

With the acquisition of Windsurf, it seems Cognition has become a more serious competitor in the AI coding space.

Update: A previous version of this article misstated what Windsurf's team will be doing at Cognition in the near term. This article was updated on July 14 to note that Windsurf's team will continue its normal work for now, and will eventually integrate its products into Cognition's offerings. We regret the error.

Topics: [AI](#) [ai coding](#) [cognition](#) [Windsurf](#)



Maxwell Zeff

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Three weeks after acquiring Windsurf, Cognition offers staff the exit door

Rebecca Bellan — 8:24 AM PDT · August 5, 2025

Cognition, the AI coding startup that acquired rival company Windsurf three weeks ago, laid off 30 employees last week and is offering buyouts to the roughly 200 remaining employees on the team, [reports The Information](#).

This is the latest bout of whiplash that Windsurf employees have faced after a tumultuous stretch for the company. The startup was initially almost acquired by OpenAI, then lost its [CEO, co-founder, and research leads to Google](#) in a \$2.4 billion deal known as a reverse-acquihire (where Google hired the key talent rather than buying the company), before ultimately getting [acquired by Cognition](#).

At the time of the acquisition, Cognition stated that 100% of Windsurf employees would receive financial compensation as part of the deal and [stressed](#) that the company was excited to bring on Windsurf's "world-class people" to develop top-notch coding tools.

Now, it's becoming clear that Windsurf's intellectual property, not its talent, was the real buy.

According to an email The Information viewed, employees were given until August 10 to decide whether they want to take the buyout, which amounts to nine months of salary. Those who choose to stay are reportedly required to spend six days at the office and clock more than 80-hour weeks — draconian conditions that have become [table stakes among workers at top AI firms](#).

"We don't believe in work-life balance—building the future of software engineering is a mission we all care so deeply about that we couldn't possibly separate the two," wrote Cognition CEO Scott Wu in the email.

TechCrunch has reached out to Cognition for more details.

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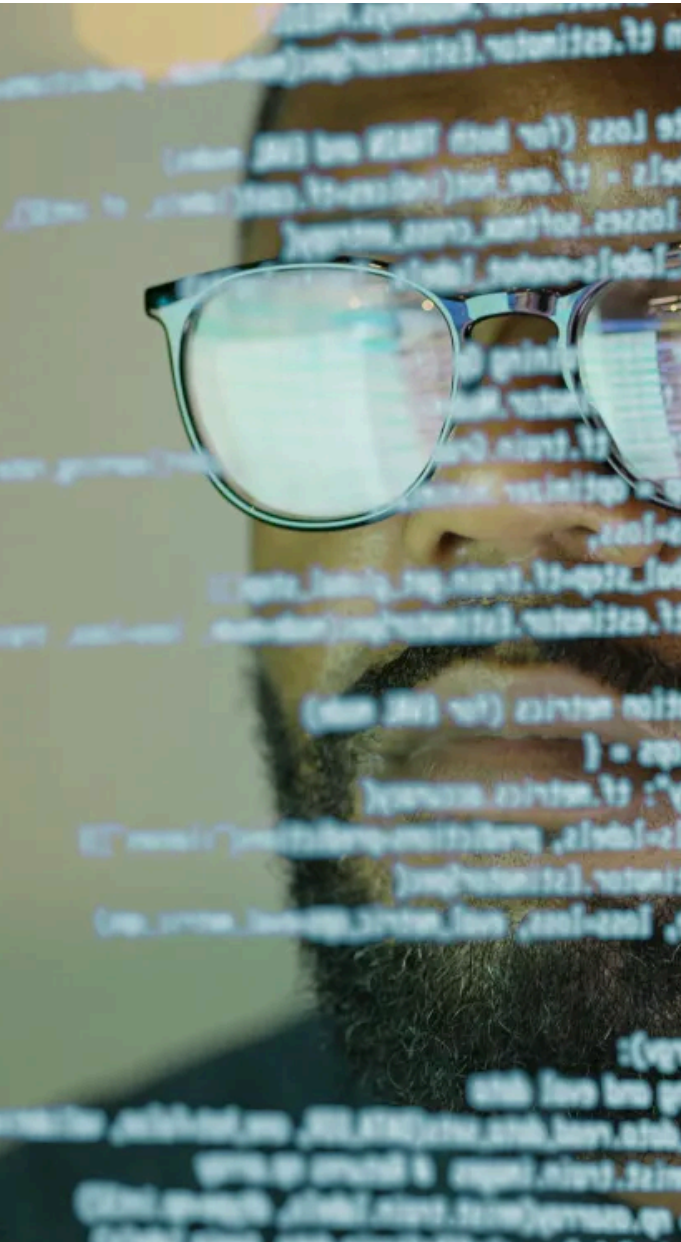
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Rebecca Bellan is a senior reporter at TechCrunch, where she covers Tesla and Elon Musk's broader empire,...

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STARTUPS



Windsurf slashes prices as competition with Cursor heats up

Charles Rollet — 2:43 PM PDT · April 23, 2025

IMAGE CREDITS:

LAURENCE DUTTON / GETTY IMAGES

AI coding assistant startup Windsurf cut its prices “across the board” it announced [on Monday](#), touting “massive savings” for its users as competition with its rival Cursor intensifies.

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Windsurf said it's getting rid of its complex system of "flow action credits," which charged developers for actions its AI did in the background. It's also cutting prices for its team plans to \$30 per user per month down from \$35, while making its enterprise plans "much cheaper," per the announcement.

Windsurf product marketer Rob Hou [proclaimed on X](#) that Windsurf now has "BY FAR the best and most affordable pricing structure of all AI coding tools on the market," crediting this to Windsurf optimizing its GPU usage.

Hou criticized "confusing" competitor plans priced at \$20 a month in an apparent dig at Cursor's individual monthly plan, which starts at \$20 compared to Windsurf's \$15.

The pricing overhaul comes as Windsurf is reportedly [being considered for an acquisition by OpenAI for \\$3 billion](#) (Cursor's creator Anysphere [is in talks to raise at a \\$10 billion valuation](#)). As TechCrunch previously reported, Windsurf is the smaller of the two coding assistant startups, generating about \$100 million in ARR [compared to Cursor's \\$300 million](#). OpenAI [originally wanted to buy Cursor, but it's growing so quickly that it's not in the market to be sold](#).

Although Windsurf hasn't confirmed the OpenAI acquisition reports, it has recently stepped up its public collaborations with OpenAI.

For example, [Windsurf's CEO Varun Mohan appeared earlier this month](#) in OpenAI's launch video for its latest API model family. And as part of the pricing change announcement, Windsurf is lavishing its users with another week of free and unlimited usage of OpenAI's latest GPT-4.1 and o4-mini models.

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The big question is whether Cursor ends up cutting its own prices in response to Windsurf's revamp. That might risk a price war, making it harder for both startups to scale up profitably.

Windsurf, which declined to comment for this article, said in its announcement that it's continuing to deliver on its promise "from the very beginning" to pass savings back to its users.

Cursor creator Anysphere didn't respond to a request for comment.

Topics: [AI](#) [cursor](#) [Startups](#) [Windsurf](#)



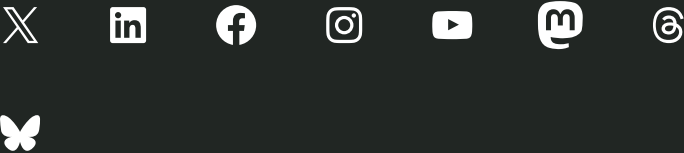
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